

9 Consolidated Financial Statements

9.1 Consolidated statement of profit or loss and other comprehensive income

*Net interest income presentation has been changed, further information in Note 1.

<i>EUR thousand</i>	Note	2025	2024*
Interest income calculated using the effective interest method	6	408,010	426,977
Other similar income	6	10,968	16,554
Interest expense	6	-183,879	-170,205
Net interest income	4, 6	235,099	273,326
Fee and commission income	7	85,235	78,675
Fee and commission expense	7	-21,977	-18,373
Net fee and commission income	4, 7	63,258	60,302
Net gain/loss from financial assets measured at fair value		4,204	803
Foreign exchange gain		-455	297
Net gain/loss from financial assets		3,749	1,100
Insurance service revenue	26	41,080	34,969
Insurance service expenses	26	-36,901	-33,038
Net result from reinsurance contracts held	26	-1,725	-960
Net insurance income		2,454	971
Other income		299	2,610
Other expense		-21	-9
Net other income		278	2,601
Total operating income		304,838	338,300
Staff costs	8	-90,969	-82,315
Administrative and other operating expenses	8	-68,337	-64,605
Profit before impairment losses		145,532	191,380
Expected credit losses on financial instruments measured at amortised cost	13	-1,518	-16,256
Profit before income tax		144,014	175,124
Income tax expense	4, 5, 25	-27,009	-24,820
Net profit for the reporting period	4	117,005	150,304
Other comprehensive income:			
Items that may be reclassified subsequently to profit or loss:			
Unrealised exchange differences on translating the financial statements of foreign operations		-4,969	3,437
Total comprehensive income for the reporting period		112,036	153,741
Total comprehensive income attributable to:			
Owners of the parent		109,296	148,968
Non-controlling interests		2,740	1,336
Total comprehensive income for the reporting period		112,036	150,304
Total profit of the reporting period attributable to:			
Owners of the parent		114,265	152,405
Non-controlling interests		2,740	1,336
Net profit for the reporting period		117,005	153,741
Basic earnings per share (in euros)		0.35	0.46
Diluted earnings per share (in euros)		0.34	0.45

Pages 136 to 187 are an integral part of the consolidated financial statements

9.2 Consolidated statement of financial position

<i>EUR thousand</i>	Note	31 Dec 2025	31 Dec 2024
Assets			
Cash and balances with central bank	9	4,270,361	3,775,554
Due from banks and investment companies	9	41,527	41,751
Due from credit institutions	9	515	1,000
Financial assets at fair value through profit or loss	10	24,927	26,272
Investments in debt securities at amortised cost	11	378,064	283,533
Loans and advances to customers	12	5,465,391	4,552,093
Receivables from customers and other receivables	14	12,335	4,736
Insurance contract assets	27	53	89
Reinsurance contract assets		476	2,044
Other financial assets	15	272	281
Other assets	15	6,533	6,559
Strategic financial investments	10	1,000	1,000
Property, plant and equipment	16	5,632	8,886
Right-of-use assets	16	6,172	9,320
Intangible assets	16	12,154	14,043
Goodwill	5	7,550	9,150
Total assets	4	10,232,962	8,736,311

<i>EUR thousand</i>	Note	31 Dec 2025	31 Dec 2024
Liabilities			
Deposits from customers	17	8,134,438	6,910,110
Loans received and debt securities in issue	19	1,043,617	927,686
Financial liabilities at fair value through profit or loss	10	1,275	24
Accounts payable and other liabilities	10	64,188	76,818
Insurance contract liabilities	27	15,335	15,258
Reinsurance contract liabilities		0	1,499
Subordinated debt	19	206,928	126,256
Total liabilities	4	9,465,781	8,057,651
Equity			
Share capital	20	32,786	32,419
Share premium	20	154,593	146,958
Legal reserve	20	4,713	4,713
Other reserves	20	10,502	16,271
Treasury shares	20	-7,271	0
Retained earnings		562,576	469,727
Total equity attributable to owners of the parent		757,899	670,088
Non-controlling interests	5	9,282	8,572
Total equity		767,181	678,660
Total liabilities and equity		10,232,962	8,736,311

9.3 Consolidated statement of cash flows

EUR thousand	Note	2025	2024*
Cash flows from operating activities			
Interest received		414,242	439,032
Interest paid		-180,577	-144,582
Fees and commissions received		84,748	78,858
Fees and commissions paid		-21,938	-18,419
Other income received/(expenses paid)		3	2,259
Staff costs paid		-83,219	-74,234
Administrative and other operating expenses paid		-56,073	-55,205
Income tax paid		-25,168	-24,432
Premiums received	27	40,388	35,255
Claims, benefits and handling costs paid, acquisition cash flows	27	-30,604	-26,277
Cash flows from operating activities before changes in operating assets and liabilities		141,802	212,255
Increases/decreases in operating assets:			
Financial assets at fair value through profit or loss		2,888	-7,017
Loans and advances to customers		-936,205	-991,830
Investments in debt securities at amortised cost		-93,510	38,355
Other assets		305	988
Due from credit institutions (deposits over 3 months)		485	850
Increases/decreases in operating liabilities:			
Demand deposits of customers		1,403,203	727,418
Term deposits of customers		-138,063	437,939
Covered bond		49,226	248,881
Debt securities		60,000	100,000
Financial liabilities held for trading at fair value through profit or loss		1,381	-1,819
Other liabilities		-17,064	-31,840
Net cash from operating activities		474,448	734,180

EUR thousand	Note	2025	2024*
Cash flows from investing activities			
Purchase of PPE and intangible assets	16	-2,699	-7,252
Net cash used in investing activities		-2,699	-7,252
Cash flows from financing activities			
Paid in share capital (incl. share premium)	20	8,002	4,021
Dividends paid	20	-31,207	-42,278
Acquisition of treasury shares	20	-7,271	0
Subordinated debt raised	19	130,000	20,000
Subordinated debt settled	19	-50,000	-20,000
Repayments of principal element of lease liabilities	18	-3,517	-3,395
Net cash from financing activities		46,007	-41,652
Effect of changes in foreign exchange rates on cash and cash equivalents		-23,173	14,485
Increase in cash and cash equivalents		494,583	699,761
Cash and cash equivalents at the beginning of the year	9	3,817,305	3,117,544
Cash and cash equivalents at the end of the year	9	4,311,888	3,817,305

*Cash flow presentation has been changed, further information in Note 1.

9.4 Consolidated statement of changes in equity

<i>EUR thousand</i>	Share capital	Share premium	Statutory reserve capital	Other reserves	Treasury shares	Retained earnings	Total	Non-controlling interest	Total equity
Balance as at 1 Jan 2024	31,983	143,372	4,713	9,333	0	359,029	548,430	7,936	556,366
Paid in share capital	436	3,586	0	0	0	0	4,022	0	4,022
Dividends paid	0	0	0	0	0	-41,578	-41,578	-700	-42,278
Share options	0	0	0	3,501	0	3,308	6,809	0	6,809
Acquisition of treasury shares	0	0	0	0	0	0	0	0	0
Net profit for the year	0	0	0	0	0	148,968	148,968	1,336	150,304
Other comprehensive income	0	0	0	3,437	0	0	3,437	0	3,437
Total comprehensive income	0	0	0	3,437	0	148,968	152,405	1,336	153,741
Balance as at 31 Dec 2024	32,419	146,958	4,713	16,271	0	469,727	670,088	8,572	678,660
Balance as at 1 Jan 2025	32,419	146,958	4,713	16,271	0	469,727	670,088	8,572	678,660
Paid in share capital	367	7,635	0	0	0	0	8,002	0	8,002
Dividends paid	0	0	0	0	0	-29,177	-29,177	-2,030	-31,207
Share options	0	0	0	-800	0	7,761	6,961	0	6,961
Acquisition of treasury shares	0	0	0	0	-7,271	0	-7,271	0	-7,271
Net profit for the year	0	0	0	0	0	114,265	114,265	2,740	117,005
Other comprehensive income	0	0	0	-4,969	0	0	-4,969	0	-4,969
Total comprehensive income	0	0	0	-4,969	0	114,265	109,296	2,740	112,036
Balance as at 31 Dec 2025	32,786	154,593	4,713	10,502	-7,271	562,576	757,899	9,282	767,181

Additional information on equity is provided in Note 20.

9.5 Material accounting policy information

Material accounting policies applied in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the years presented and to all the consolidated group entities unless stated otherwise.

9.5.1 Basis of preparation

The Group's consolidated financial statements for 2025 have been prepared in accordance with International Financial Reporting Standards as adopted by the European Union. The financial statements have been prepared under the historical cost convention. As an exception, some financial assets and liabilities, including derivatives, are stated at their fair values as described in the accounting policies below.

The preparation of consolidated financial statements in accordance with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying accounting policies. The areas involving a higher degree of judgement or complexity, and areas where assumptions and estimates are significant to the financial statements, are disclosed in Note 2.

The financial year started on 1 January 2025 and ended on 31 December 2025. The financial figures have been presented in thousands of euros (EUR) unless otherwise indicated. The Group is not offsetting assets and liabilities.

New currently effective requirements

The following amendments became effective for the Group from 1 January 2025:

Amendments to IAS 21 Lack of Exchangeability (effective for annual periods beginning on or after 1 January 2025).

This amendment had no material impact on Group's financial statements.

New requirements not yet effective

Certain new or revised standards and interpretations have been issued that are mandatory for the Group's annual periods beginning on or after 1 January 2026, and which the Group has not early adopted.

Amendments to the Classification and Measurement of Financial Instruments - Amendments to IFRS 9 and IFRS 7 (effective for annual periods beginning on or after 1 January 2026).

On 30 May 2024, the IASB issued amendments to IFRS 9 and IFRS 7 to:

- (a) clarify the date of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system;
- (b) clarify and add further guidance for assessing whether a financial asset meets the solely payments of principal and interest (SPPI) criterion;
- (c) add new disclosures for certain instruments with contractual terms that can change cash flows (such as some instruments with features linked to the achievement of environment, social and governance (ESG) targets); and
- (d) update the disclosures for equity instruments designated at fair value through other comprehensive income (FVOCI).

The Group is currently assessing the impact of the amendments on its financial statements.

IFRS 18 Presentation and Disclosure in Financial Statements (effective date to be determined, not yet adopted by the EU).

In April 2024, the IASB has issued IFRS 18, the new standard on presentation and disclosure in financial statements, with a focus on updates to the statement of profit or loss. The key new concepts introduced in IFRS 18 relate to:

- the structure of the statement of profit or loss;
- required disclosures in the financial statements for certain profit or loss performance measures that are reported outside an entity's financial statements (that is, management-defined performance measures); and
- enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes in general.

IFRS 18 will replace IAS 1; many of the other existing principles in IAS 1 are retained, with limited changes. IFRS 18 will not impact the recognition or measurement of items in the financial statements, but it might change what an entity reports as its 'operating profit or loss'. IFRS 18 will apply for reporting periods beginning on or after 1 January 2027 and also applies to comparative information.

The Group is currently assessing the impact of the amendments on its financial statements.

Certain new or revised standards and interpretations have been issued that are mandatory for the Group's annual periods beginning on or after 1 January 2026, but are not expected to affect significantly the Group's consolidated financial statements:

- Annual Improvements to IFRS Accounting Standards (effective for annual periods beginning on or after 1 January 2026).
- Contracts Referencing Nature-dependent Electricity Amendments to IFRS 9 and IFRS 7 (effective for annual periods beginning on or after 1 January 2026).
- IFRS 19 Subsidiaries without Public Accountability: Disclosures (effective date to be determined, not yet adopted by the EU).
- Amendments to IFRS 19 Subsidiaries without Public Accountability: Disclosures (effective date to be determined, not yet adopted by the EU).

- Sale or Contribution of Assets between an Investor and its Associate or Joint Venture – Amendments to IFRS 10 and IAS 28 (effective date to be determined by the IASB; not yet adopted by the EU).
- IFRS 14, Regulatory Deferral Accounts (effective date to be determined by the IASB; not yet adopted by the EU).

9.5.2 Consolidation

The consolidated financial statements for 2025 comprise the financial statements of AS LHV Group (the parent company) and its subsidiaries AS LHV Pank, AS LHV Finance (a subsidiary of AS LHV Pank), AS LHV Varahaldus, AS LHV Kindlustus, LHV Bank Ltd and AS LHV Paytech. AS LHV Group holds a 65% interest in LHV Finance through AS LHV Pank. AS LHV Group holds a 65% interest in LHV Kindlustus.

Subsidiaries are entities which are controlled by the Group. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Acquisitions of subsidiaries and businesses are accounted for using the acquisition method (except for business combinations of entities under common control). The cost of an acquisition is measured as the acquisition-date fair value of the assets acquired, equity instruments issued, and liabilities incurred or assumed.

Transaction costs incurred on issuing equity instruments are deducted from equity; transaction costs incurred on issuing debt instruments are deducted from their carrying amounts and all other transaction costs associated with the acquisition are expensed. According to the acquisition method, the identifiable assets, liabilities, and contingent liabilities of the acquired subsidiary are recognised at their fair values at the acquisition date, irrespective of the extent of any non-controlling interest.

The Group measures a non-controlling interest that represents a present ownership interest and entitles the holder to a proportionate share of net assets in the event of liquidation on a transaction-by-transaction basis, either at: (a) fair value, or (b) the non-controlling interest's proportionate share of the net assets of the acquiree. Non-controlling interests that are not present ownership interests are measured at fair value.

Goodwill is measured by deducting the net assets of the acquiree from the aggregate of the consideration transferred for the acquiree, the amount of any non-controlling interest in the acquiree and the fair value of the acquirer's previously held interest in the acquiree. Any negative amount (bargain purchase gain) is recognised in profit or loss, after management reassesses whether it has identified all the assets acquired and all liabilities and contingent liabilities assumed and reviews the appropriateness of their measurement.

The revenues and expenses of subsidiaries acquired during the financial year are consolidated in the Group's statement of profit or loss and other comprehensive income from the date of acquisition to the end of the financial year. The results of operations of subsidiaries disposed of during the financial year are consolidated in Group's statement of profit or loss and other comprehensive income from the beginning of the financial year to the date of disposal.

Consistent with the Accounting Act of the Republic of Estonia, the primary financial statements of the consolidating entity (the parent company) have to be disclosed in the notes to the consolidated financial statements. In preparing the primary financial statements of the parent, the same accounting policies have been used as in preparing the consolidated financial statements, except for investments in subsidiaries, which in the parent's separate primary financial statements (see Note 28) are accounted for at cost less any impairment losses.

9.5.3 Functional and presentation currency

The functional and presentation currency of Group entities is the euro (EUR), except for LHV Bank Ltd in the UK whose functional currency is the pound sterling (GBP).

9.5.4 Presentation of statement of financial position in order of liquidity

The Group does not have a clearly identifiable operating cycle and therefore does not present current and non-current assets and liabilities separately in the statement of financial position. Instead, assets and liabilities are presented in order of their liquidity. The following table provides information on amounts expected to be recovered or settled before and after twelve months after the reporting period.

	31 Dec 2025			31 Dec 2024		
	Amounts expected to be recovered or settled			Amounts expected to be recovered or settled		
	Within 12 months after reporting period	After 12 months after the reporting period	Total	Within 12 months after reporting period	After 12 months after the reporting period	Total
ASSETS						
Cash and balances with central bank	4,270,361	0	4,270,361	3,775,554	0	3,775,554
Due from banks and investment companies	41,527	0	41,527	41,751	0	41,751
Due from credit institutions	515	0	515	1,000	0	1,000
Financial assets at fair value through profit or loss	10,292	14,635	24,927	18,857	7,415	26,272
Investments in debt securities at amortised cost	181,654	196,410	378,064	163,124	120,409	283,533
Loans and advances to customers	736,612	4,728,779	5,465,391	684,139	3,867,954	4,552,093
Receivables from customers and other receivables	12,335	0	12,335	4,736	0	4,736
Insurance contract assets	53	0	53	89	0	89
Reinsurance contract assets	476	0	476	2,044	0	2,044
Other financial assets	0	272	272	0	281	281
Other assets	6,533	0	6,533	6,559	0	6,559
Financial investment	0	1,000	1,000	0	1,000	1,000
Property, plant and equipment and right-of-use assets	0	11,804	11,804	0	18,206	18,206
Intangible assets	0	12,154	12,154	0	14,043	14,043
Goodwill	0	7,550	7,550	0	9,150	9,150
LIABILITIES						
Deposits from customers	8,107,437	27,001	8,134,438	6,901,852	8,258	6,910,110
Loans received and debt securities in issue	136,886	906,731	1,043,617	263,664	664,022	927,686
Financial liabilities at fair value through profit or loss	1,275	0	1,275	24	0	24
Accounts payable and other liabilities	60,806	3,382	64,188	70,330	6,488	76,818
Insurance contract liabilities	15,335	0	15,335	15,258	0	15,258
Reinsurance contract liabilities	0	0	0	1,499	0	1,499
Subordinated debt	2,473	204,455	206,928	51,256	75,000	126,256

9.5.5 Cash and cash equivalents

Cash and cash equivalents comprise cash on hand, demand deposits with central and other banks and investment companies, and term deposits with original maturities of three months or less that are available for use without any restrictions and subject to an insignificant risk of changes in value.

9.5.6 Financial assets

9.5.6.1 Initial recognition and derecognition

Financial assets are recognised in the statement of financial position when the Group becomes a party to the contractual provisions of the instrument and measured at fair value on initial recognition. Transaction costs are included in the initial fair value except for financial assets at fair value through profit or loss whose transaction costs are recognised in profit or loss. Financial assets measured at fair value and financial assets measured at amortised cost are recognised in the statement of financial position on the trade date.

Financial assets are derecognised when (a) the assets are redeemed or the rights to the cash flows from the assets otherwise expire or (b) the Group has transferred the rights to the cash flows from the financial assets or entered into a qualifying pass-through arrangement while (i) also transferring substantially all the risks and rewards of ownership of the assets or (ii) neither transferring nor retaining substantially all the risks and rewards of ownership, but not retaining control.

Control is retained if the counterparty does not have the practical ability to sell the asset in its entirety to an unrelated third party without needing to impose restrictions on the sale.

9.5.6.2 Subsequent measurement

The Group classifies its financial assets as subsequently measured at fair value through profit or loss, fair value through other comprehensive income or amortised cost. The classification depends on whether the financial asset is a debt instrument, an equity instrument or a derivative.

9.5.6.3 Debt instruments (loans and debt securities)

The classification is based on a combination of assessing the business model for managing the financial assets and whether the contractual cash flows are solely payments of principal and interest (SPPI). The business model assessment is performed for homogenous portfolios/products identified based on how the business is managed in the Group's divisions. The assessment is based on reasonable scenarios taking into consideration how the portfolio is evaluated and reported to management; the risks affecting the performance of the portfolio and how these risks are managed; how managers are compensated; and the frequency, value and timing of sales including the reasons for the sales. In determining if the contractual cash flows are solely payments of principal and interest, principal is defined as the fair value of the debt instrument at initial recognition. The principal amount can change over the life of the instrument if there are repayments of principal or interest is capitalised. Interest cash flows are consistent with the components of a basic lending arrangement including consideration for the time value of money, credit risk, liquidity risk as well as administrative costs and a profit margin. If there are contractual terms introducing exposure to other risks or volatility, the cash flows are not considered to be solely payments of principal and interest. SPPI tests are performed as a part of new product approval tests.

Debt instruments are presented in the statement of financial position within cash and cash equivalents, due from central banks, due from credit institutions, due from investment

companies, loans and advances to customers, financial assets at fair value through profit or loss, financial assets measured at amortised cost, receivables from customers and other financial assets and they include instruments in the following measurement categories.

Fair value through profit or loss: Debt instruments are classified into this category if they do not meet the criteria for amortised cost or fair value through other comprehensive income. This is the case if the instrument is held for trading. Financial assets are held for trading if they are held for the purpose of selling in the short term and profit-taking. Debt instruments are measured at fair value through profit or loss if they are managed and measured on a fair value basis or held with the intention to sell, or if their cash flows are not solely payments of principal and interest.

Amortised cost: Debt instruments are classified into this category if both of the following criteria are met. (a) the business model objective is to hold the assets to collect contractual cash flows and (b) the contractual cash flows are solely payments of principal and interest. The gross carrying amount of these assets is measured using the effective interest method and adjusted for expected credit losses.

9.5.6.4 Equity instruments

Equity instruments are by default classified as financial assets at fair value through profit or loss. However, an irrevocable election can be made on initial recognition to classify equity instruments (not held for trading) as measured at fair value through other comprehensive income.

9.5.6.5 Derivatives

Derivatives (held for trading) are classified as measured at fair value through profit or loss.

9.5.6.6 Modification

The Group may renegotiate loans and modify contractual terms. If the new terms are substantially different from the original ones, the Group derecognises the original financial asset and recognises a new asset. The Group also assesses whether the new financial asset is credit-impaired at initial recognition. If the terms are not substantially different, resulting in less than 10% change in net present value of the loan, the modification does not result in derecognition, and the Group recalculates the gross carrying amount based on the new cash flows using the original effective interest rate of the financial asset and recognises a modification gain or loss.

9.5.6.7 Reclassification

In rare circumstances debt instruments (financial assets) excluding those designated at fair value through profit or loss on initial recognition, can be reclassified if there has been a change in the business model for managing the affected financial assets.

9.5.6.8 Write-off

The Group writes off financial assets, in whole or in part, when it has exhausted all practical recovery efforts and has concluded that there is no reasonable expectation of recovery. The write-off represents a derecognition event.

Indications of no reasonable expectation of recovery include (i) ceasing of debt collection activities and (ii) where the Group's recovery method is foreclosing on collateral, determining that the value of the collateral is such that there is no reasonable expectation of recovery.

If it is not feasible or economically reasonable for the Group to take measures to recover a receivable, the receivable is classified into non-performing and removed from the statement of financial position. At least one of the conditions

has to be filled to classify a receivable into non-performing.

If a receivable which has been written off as uncollectable is subsequently collected, the amount received is recognised as income.

9.5.7 Expected credit loss of financial assets

The impairment requirements are based on an expected credit loss (ECL) model. The guiding principle of the ECL model is to reflect the general pattern of deterioration or improvement in the credit quality of financial instruments.

All financial assets measured at amortised cost and fair value through other comprehensive income, as well as lease receivables, financial guarantee contracts, contract assets and certain loan commitments are in the scope for the recognition of ECLs.

ECLs on financial assets measured at amortised cost and lease receivables are presented as allowances, i.e., as an integral part of the measurement of those assets in the statement of financial position. The allowance reduces the gross carrying amount. ECLs on loan commitments and financial guarantee contracts are presented as provisions, i.e., as liabilities, in the statement of financial position. Adjustments to the loss allowances and provisions due to changes in ECLs are recognised in profit or loss as net expected credit losses.

The detailed description of credit risk measurement, definition of default, ECL modelling and incorporation of forward-looking information into credit risk measurement are described in subsection '7.3 Credit risk' under the 'Risk and Capital Management' section.

IFRS 9 measurement category			31 Dec 2025	31 Dec 2024
EUR thousand		Asset class		
Financial assets	Amortised cost	Cash and cash equivalents, due from central banks, investment companies and credit institutions	4,312,403	3,818,305
		Loans and advances to customers		
		Corporate lending	3,351,378	2,752,869
		Consumer lending	109,180	100,002
		Investment financing	10,629	9,915
		Leasing	173,672	178,527
		Private lending	1,820,532	1,510,780
		Debt securities	378,064	283,533
		Receivables from customers	12,335	4,736
		Other financial assets	272	281
	Fair value through profit or loss	Shares and fund units	909	879
		Listed bonds	17,123	15,671
		Derivatives	635	3,415
		Pension fund units	6,260	6,307
Financial liabilities	Amortised cost	Deposits from customers	8,134,438	6,910,110
		Loans received and debt securities in issue	1,043,617	927,686
		Accounts payable and other liabilities	41,566	44,674
		Subordinated debt	206,928	126,256
	Fair value through profit or loss	Derivatives	1,275	24

9.5.8 Property, plant and equipment

Property, plant and equipment (PPE) are non-current assets used in the Group's operating activities that have a useful life of over one year. PPE is initially recognised at its cost, which consists of the purchase price (incl. customs duties and other non-refundable taxes) and any directly attributable expenditure on bringing the asset to its operating condition and location. Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other repair and maintenance costs are charged to operating expenses during the reporting period in which they are incurred.

PPE is carried in the statement of financial position at cost less any accumulated depreciation and any accumulated impairment losses. Depreciation is calculated on a straight-line basis. The annual depreciation rate for computers, furniture and fixtures is 33%. Improvements of rental space are either depreciated at the rate of 20% per year or over the lease term, depending on which is shorter. Depreciation is calculated starting from the month of acquisition until the carrying amount decreases to the residual value of the asset. When the residual value is greater than the carrying amount of the asset, depreciation ceases.

The depreciation methods used, and the residual values and useful lives of assets are reviewed, and adjusted if appropriate, at the end of each reporting period. The Group performs an impairment test when there are circumstances which indicate impairment. Where an asset's carrying amount is greater than its estimated recoverable amount (the higher of an asset's fair value less costs of disposal and its value in use), the asset is immediately written down to its recoverable amount by recognising an impairment loss in the statement of profit or loss for the reporting period. Gains and losses on disposals are determined by comparing the disposal proceeds with the carrying amount of the asset. The gains

and losses are included in other income and operating expenses, respectively, in the statement of profit or loss for the reporting period.

9.5.9 Intangible assets

Intangible assets are identifiable non-monetary assets without physical substance. An intangible asset is initially measured at cost, comprising of its purchase price and any directly attributable expenditure on preparing the asset for its intended use. After initial recognition, an intangible asset is carried at its cost less any accumulated amortisation and any accumulated impairment losses. Amortisation is calculated on a straight-line basis, except for contracts with customers (see below). The annual amortisation rate for purchased licenses is 33%.

Sales costs related to the acquisition of new contracts with customers are capitalised. Customer contracts are amortised over their useful lives using the declining balance method.

The length of the useful life has been determined based on the historical customer attrition rate, which is 18.48% per year.

The appropriateness of amortisation rates, methods and residual values is assessed at the end of each reporting period. The Group reviews intangible assets for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the carrying amount of the asset exceeds its recoverable amount, which is the higher of an asset's fair value less costs of disposal and value in use.

9.5.10 Impairment of non-financial assets

Assets that have indefinite useful lives (i.e. goodwill) are not subject to amortisation. Instead, they are tested annually for impairment by comparing their carrying amounts with their recoverable amounts.

Assets with an unlimited useful life and depreciable assets are reviewed for impairment whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. In the event of such circumstances, the recoverable amount of the asset is assessed and compared with its carrying amount.

An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. For assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating unit).

Impairment losses are recognised in profit or loss.

At the end of each following reporting period, assets that have been written down are assessed to determine whether their recoverable amount has increased (except for impairment losses on goodwill that are not reversed). If the impairment test indicates that the recoverable amount of an asset or asset group (cash-generating unit) has increased above its carrying amount, the previous impairment loss is reversed up to the carrying amount that would have been determined (net of amortisation or depreciation) had no impairment loss been recognised for the asset in prior years. Reversals of impairment losses are recognised in profit or loss as a reduction of the impairment loss.

9.5.11 Loan commitments, financial guarantees, and performance guarantees

The Group issues commitments to provide loans. These commitments are irrevocable or revocable only in response to a material adverse change. Such commitments are initially recognised at their fair value, which is normally evidenced by the amount of fees received. This amount is amortised on a straight-line basis over the life of the commitment, except for commitments to originate loans if it is probable that the Group will enter into a specific lending arrangement and does not expect to sell the resulting loan shortly after origination; such loan commitment fees are deferred and included in the carrying value of the loan on initial recognition. At the end of each reporting period, the commitments are measured at (i) the remaining unamortised balance of the amount at initial recognition, plus (ii) the amount of the loss allowance determined based on the expected credit loss model, unless the commitment is to provide a loan at a below-market interest rate, in which case the measurement is at the higher of these two amounts. The carrying amount of the loan commitments represents a liability. For contracts that include both a loan and an undrawn commitment and where the Group cannot separately distinguish the ECL on the undrawn loan component from the loan component, the ECL on the undrawn commitment is recognised together with the loss allowance for the loan. To the extent that the combined ECLs exceed the gross carrying amount of the loan, they are recognised as a liability.

The Group issues financial guarantees. Financial guarantees represent irrevocable assurances to make payments if a customer fails to make payment to third parties and carry the same credit risk as loans. Financial guarantees are initially recognised at their fair value, which is normally evidenced by the amount of fees received. This amount is amortised on a straight-line basis over the life of the financial guarantee. At the end of each reporting period, the financial guarantees are measured at the higher of (i) the amount of the loss allowance

for the guaranteed exposure determined based on the expected credit loss model and (ii) the remaining unamortised balance of the amount at initial recognition. In addition, an ECL allowance is recognised for fees receivable that are recognised in the statement of financial position as an asset.

Performance guarantees are contracts that provide compensation if another party fails to perform a contractual obligation. Such contracts do not transfer credit risk. Performance guarantees are initially recognised at their fair value, which is normally evidenced by the amount of fees received. This amount is amortised on a straight-line basis over the life of the contract. At the end of each reporting period, the performance guarantee contracts are measured at the higher of (i) the unamortised balance of the amount at initial recognition and (ii) the best estimate of expenditure required to settle the contract at the end of the reporting period, discounted to present value. Where the Group has the contractual right to revert to its customer for recovering amounts paid to settle the performance guarantee contracts, such amounts will be recognised as loans and receivables upon transfer of the loss compensation to the guarantee's beneficiary.

9.5.12 Financial liabilities

The Group classifies financial liabilities as either:

- a) financial liabilities measured at fair value through profit or loss;
- b) financial liabilities measured at amortised cost; or
- c) financial guarantee contracts and loan commitments.

Derivatives are classified as financial liabilities at fair value through profit or loss. All other financial liabilities are subsequently measured at amortised cost using the effective interest method. Transaction costs are included in the calculation of the effective interest rate. The difference

between the proceeds (less transaction costs) and redemption value are recognised in profit or loss during the term of the instrument using the effective interest rate. Interest expense is reported in profit or loss within interest expense.

Deposits from customers are initially recorded on their settlement date at their fair value less transaction costs and are subsequently measured at amortised cost using the effective interest method. Accrued interest liabilities are included in the same item.

Loans received, debt securities issued, and similar subordinated debts are initially recognised at fair value less transaction costs (cash received less transaction costs). Subordinated debts are those liabilities which in the case of the liquidation of a credit institution or declaration of bankruptcy are settled after the satisfaction of the justifiable claims of other creditors. Other financial liabilities (trade payables, accrued expenses and other borrowings) are initially recognised at fair value less transaction costs and are subsequently carried at amortised cost.

Loans received (except subordinated debt) are classified under net cash generated from/used in operating activities as they are issued to support the core business of the LHV.

Financial liabilities are derecognised when they are extinguished (i.e., when the obligation specified in the contract is discharged, cancelled, or expires).

9.5.13 Share-based payments

AS LHV Group operates a share-based compensation programme, under which the company receives services from the Group's employees as consideration for the equity instruments (options) of LHV Group. The fair value of the employee services received in exchange for the grant of the options is recognised during the share-based compensation programme as the Group's staff costs and as an increase in equity (other reserves). The total amount to be expensed is

determined by the fair value at the time of issuing the options. The fair value of the options granted is determined by:

- including any market-based performance conditions (market conditions) that influence the options price (e.g., the LHV Group share price);
- excluding the impact of any service and non-market conditions (vesting conditions other than market conditions) e.g., profitability, sales growth targets and remaining an employee of the Group over a specified period).

At the end of each reporting period, the Group revises its estimates of the number of options that are expected to vest based on the vesting conditions (other than market conditions). It recognises the impact of the revision to original estimates, if any, in profit or loss, with a corresponding adjustment to equity.

Starting from 2025, LHV Group repurchases its own shares from the market for the purposes of the share option programme. Previously, LHV Group issued new shares to settle exercised share options. If the repurchase of own shares is not successful to the extent required to settle the exercised options, LHV Group has the right to issue new shares.

According to the law, there are no social security charges when the options are exercised after a 3-year period.

9.5.14 Contingent liabilities

Contingent obligations (guarantees, excluding financial guarantees, and other commitments) whose realisation is less probable than non-realisation or amount cannot be estimated reliably but which may transform into liabilities in certain circumstances, are disclosed in the notes to the financial statements as contingent liabilities. Contingent liabilities may develop in a way not initially expected. Therefore, they

are assessed continually to determine whether an outflow of resources embodying economic benefits has become probable on a portfolio basis. If it becomes probable that an outflow of future economic benefits will be required for an item or a portfolio of items previously classified as a contingent liability, a provision is recognised in the financial statements of the period in which the change in probability occurs (except in the extremely rare circumstances where no reliable estimate can be made).

9.5.15 Fee and commission income and expenses

Fee and commission income comprises revenue from contracts with customers. It does not include revenue from lease contracts or financial instruments and other contractual obligations within the scope of IFRS 9 Financial Instruments.

Fees that are included in the calculation of the effective interest rate of a financial instrument measured at amortised cost, such as loan origination fees, are allocated over the expected tenor of the instrument by applying the effective interest method and presented in net interest income.

Fee and commission income is recognised to depict the transfer of promised services to customers in an amount that reflects the consideration to which LHV expects to be entitled in exchange for the services.

Fee and commission income is recognised over time on a straight-line basis as the services are rendered, when the customer simultaneously receives and consumes the benefits provided by the Group's performance. Variable fees are recognised only to the extent that management determines that it is highly probable that a significant reversal will not occur.

Other fee and commission income is recognised at a point in time when the Group satisfies its performance obligation, usually upon the execution of the underlying transaction. The amount of a fee or commission received, or receivable

represents the transaction price for the services identified as distinct performance obligations.

The main types of fees are described below.

Credit card fees comprise interchange income, merchant service charges and card-related service fees earned from card issuing and acquiring activities. Fees for ongoing card services are recognised over time as the related services are provided. Transaction-based fees, including acquiring and interchange fees, are recognised at a point in time when the underlying card transaction is executed.

Settlement fees comprise fees charged for the execution and processing of payment and settlement transactions, including domestic and international transfers. Settlement fees are generally recognised at a point in time when the payment transaction has been executed and the Group has satisfied its performance obligation. Where settlement services are provided continuously over a contractual period, the related fees are recognised over time on a straight-line basis over the period in which the services are rendered.

Fee and commission income for asset custody and asset management provided to customers is recognised as revenue over the period in which the services are provided. Performance-based fees are recognised when it is highly probable that a significant reversal of recognised revenue will not occur, which is most often when the performance criteria are fulfilled.

Brokerage fees, commissions, and fees from negotiating a transaction for a third party, such as arrangement of acquisitions or the purchase or sale of a business, are recognised on the completion of the transaction.

Expenses that are directly related to the generation of fee and commission income are recognised as fee and commission expense.

9.5.16 Asset management services

The Group provides asset management services (Note 21). Assets managed by the Group that belong to third parties are accounted for off the statement of financial position. The Group derives service fees from the holding and management of such assets. The services do not involve any credit or market risks for the Group.

9.5.17 Corporate income tax

9.5.17.1 Corporate income tax, including dividend income tax in Estonia

According to the Estonian Income Tax Act, a company's annual profit is not subject to corporate income tax in Estonia. Instead, income tax is levied on dividends, fringe benefits, gifts, donations, entertainment expenses, non-business-related disbursements, and transfer pricing adjustments.

The tax rate on distributed profits is 22% of the net amount paid out (i.e., 22/78). Under certain conditions, received dividends can be redistributed without additional income tax costs. The exemption applies if the company receiving and redistributing the dividends had at least a 10% ownership stake in the distributing company at the time of receipt.

The previously applicable reduced tax rate of 14% (14/86 of the net dividend) for regularly distributed dividends is no longer effect as of January 1, 2025. However, a transitional provision may apply to dividends received before this date that were taxed at the lower rate when subsequently distributed.

Corporate income tax on dividends is recognized as an expense and a liability to the extent of the planned dividend distribution. Deferred income tax is accounted for on the undistributed profits of subsidiaries and changes in other reserves, except when the group controls the subsidiary's dividend policy and it is unlikely that the temporary difference will be reversed in the near future through dividend payments or other means. Since the group controls the dividend policy of its subsidiaries, it can also determine the timing of the reversal of temporary differences related to investments in subsidiaries. Therefore, the group does not recognize deferred tax liabilities on such temporary differences unless management expects them to reverse in the near future.

The maximum potential corporate income tax liability that would arise if all free equity were distributed as dividends is disclosed in the notes to the consolidated financial statements.

Starting from Q2 2018 to 2024 credit institutions had to make advance payments of income tax at the rate of 14% of their quarterly profits (Note 25). Starting from January 1, 2025 the tax rate for credit institutions is 18%. The tax has to be paid by the 10th day of the third month following the quarter. Advance income tax payments are non-refundable and thus recognised as an expense, but they can be used to reduce the income tax payable on future dividend distributions. LHV is a growing company and cannot utilise the paid advance income tax in the foreseeable future. Therefore, the tax is recognised as an expense.

9.5.17.2 Corporate income tax in other countries

The profit of the entity located in the United Kingdom that has been adjusted for permanent and temporary differences as permitted by local tax laws is subject to corporate income tax.

Corporate income tax rates	2025	2024
United Kingdom	25%	25%

9.5.18 Classification of insurance contracts

An insurance contract is a written agreement between the insurer and the policyholder under which the policyholder undertakes to pay the insurance premiums specified in the contract, and the insurer undertakes to pay the insured amount or the insurance benefits or to fulfil other contractual obligations when the insured event occurs. All contracts concluded between the Group's insurance company and its customers qualify as insurance contracts.

The contracts issued by the company are non-life insurance contracts and in most cases the contract term is one year. Exceptions include short-term travel insurance contracts, which provide cover for one trip and are entered into for the duration of the trip, and equipment insurance and extended warranty contracts, which may have a term exceeding one year.

Reinsurance

Reinsurance is partial transfer of the insurance risks taken by the insurer to a reinsurer under a reinsurance contract. Reinsurance contracts are usually signed for a term of one year. As an exception, proportional reinsurance contracts in motor third party liability insurance are signed for a term of three years.

Reinsurers' share of the liability for remaining coverage and the liability for incurred claims is recognised in accordance with the reinsurance contracts.

Liability for remaining coverage

The Liability for Remaining Coverage (LRC) is calculated using current assumptions about future cash flows, which are then, if necessary, discounted to their present value. As the Company does not have insurance contracts that last longer than a year the cash flows are not discounted. This liability reflects the portion of the insurance contract that remains to be fulfilled in the future.

To assess the adequacy of the LRC, the Company organises an onerousity test at least once a year. In case the result of the test is negative, and the group of contracts must actually be unprofitable, the Company increases the LRCs and reflects the loss of the group of contracts.

Reinsurers' share of the liability for remaining coverage is calculated only for those contracts that are covered by a proportional reinsurance contract.

In accordance with the current IFRS 17 Insurance Contracts, an insurance company may choose between two measurement models, the General Measurement Model (hereinafter GMM) and the simplified Premium Allocation Approach (hereinafter PAA). The term of the insurance contracts is usually one year, LHV Kindlustus uses the PAA to measure these insurance contracts. For groups of contracts with a coverage period more than 1 year, LHV Kindlustus performs a PAA eligibility test, which has concluded that the application of the PAA method does not result in materially different results compared to the GMM. Therefore, LHV Kindlustus uses PAA for all its portfolios.

Liability for incurred claims

The liability for incurred claims refers to the obligation of insurers to cover claims that have already occurred but have not yet been settled. It involves estimating the cost of claims based on available information, historical data, and actuarial calculations.

A significant component of the liability for incurred claims in addition to case reserves (handled but not settled and reported but not handled) is incurred-but-no-reported (IBNR) claims. These are claims that have occurred but haven't been reported to the insurer by the reporting date. Estimating IBNR claims involves using statistical methods and historical patterns to predict future claims. In addition the cost of handling the claims is estimated. As of 31 December 2025, IBNR and the associated claims handling costs take up approximately 12,3% (2024: 12,5%) of LIC.

IFRS 17 requires insurers to consider the time value of money when estimating the cost of settling these claims, especially when there's a significant time gap between the occurrence of the claim and its settlement. Since majority of these claims are settled within a year after their emergence they are not discounted.